
Why Do Multinational Firms Exist?

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Apple already owned factories across borders



Apple, Cork campus, 1986 · [Apple Newsroom](#), © Apple.

Before the outsourcing shift

Apple assembled computers in Ireland, Singapore, and the United States.

Why turn more production over to another firm?

Monday: firm boundaries. Today: ownership across borders. Next Monday: location.

A Brief Writing Exercise

YOUR IB VOICE

EXPLAIN THE DECISION

Why did Apple shift assembly to outside manufacturers while Foxconn expanded what it owned? Defend your explanation with one detail from each assigned chapter. Identify one long-term risk that the immediate gains could conceal.

10 minutes • Individual • Notes permitted

Keep your response. You will revisit the ownership decision at the end.

What explains the different ownership choices?

- **Financial pressure:** Apple needed flexibility and cash.
- **Specialist capability:** Foxconn could coordinate production at scale.
- **Bargaining strategy:** bundling made the relationship more valuable and harder to leave.

Which evidence explains the timing, and which explains the choice of partner?

Two Firms, Different Boundaries

Foxconn built scale around its customers' production



Lhzss8, [Foxconn Shenzhen campus](#), 2023 · Commons, CC BY-SA 4.0.

The model in chapter 9

Foxconn combined assembly, component sourcing, and selected in-house production. Longer relationships supported investment and rapid expansion.

Foxconn's manufacturing capabilities made it valuable to firms with different strengths.

Foxconn paid early costs and earned revenue over time



A low entry cost can create a valuable long-term relationship.

| The same bundle can lower Apple's immediate costs and increase its later dependence.

The 2000 downturn made flexibility more valuable



Binarysequence, [Power Mac G4 Cube](#), 2019 · Commons, CC BY-SA 4.0.

Apple's changing constraints

Weak demand left factory capacity harder to justify.

Falling sales constrained investment.

Suppliers offered speed, quality, and lower costs.

| The value of ownership depends on demand, financing, and the capabilities available outside.

Manufacturing experience moved with the work



Steve Jurvetson, [Electronics factory in Shenzhen](#), 2005 · Commons, CC BY 2.0.

Learning through production

Workers solve recurring defects.

Engineers refine tools and processes.

Suppliers learn to scale the next product.

An ownership decision also shapes where practical knowledge accumulates.

One firm's outsourcing supported another firm's growth

Apple bought access to manufacturing capability.

Foxconn expanded the activities it could coordinate internally.

■ The relevant boundary surrounds a particular firm and a particular activity.

Why Own Operations Abroad?

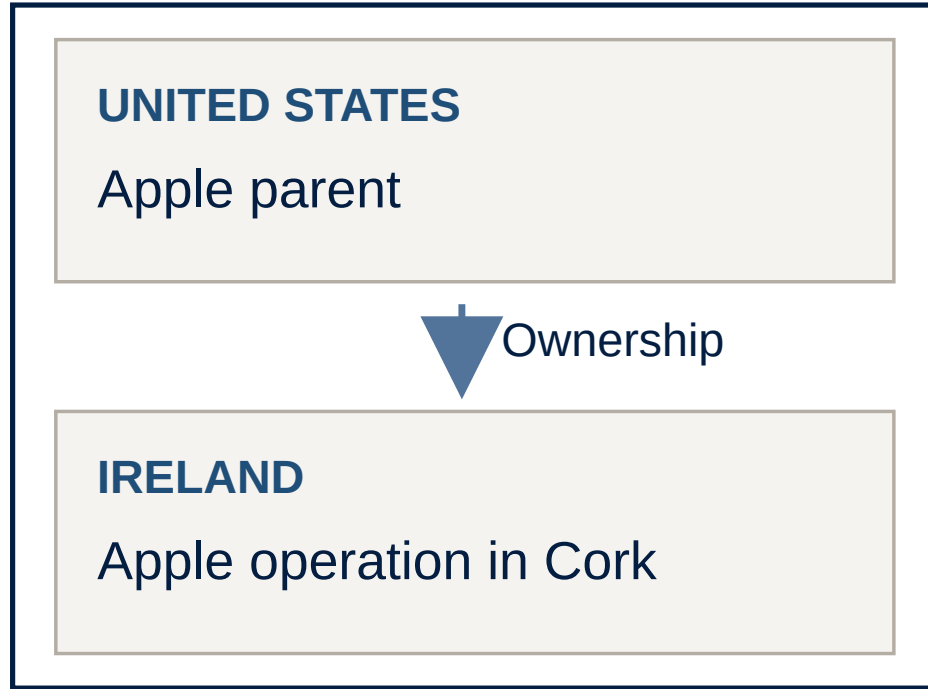
Location and ownership are separate choices

	OWN OPERATION	CONTRACT WITH SUPPLIER
AT HOME	DOMESTIC INTEGRATION Apple's Sacramento assembly	DOMESTIC OUTSOURCING An independent home supplier
ABROAD	FOREIGN AFFILIATE Apple's Cork operation	FOREIGN OUTSOURCING Apple buys Foxconn assembly

Offshoring changes where work occurs. Outsourcing assigns work to another firm.

A supply network can connect several multinationals

APPLE GROUP



FOXCONN GROUP



Supply
contract

A multinational enterprise owns or controls value-adding operations in more than one economy.

FDI establishes a lasting interest in a foreign enterprise

10%+

of voting power

The statistical threshold for a direct investment relationship.

>50%

of voting power

Majority control of a subsidiary.

Foreign direct investment can involve significant influence or full ownership.

Foreign affiliates can serve markets or connect stages

SERVE A FOREIGN MARKET



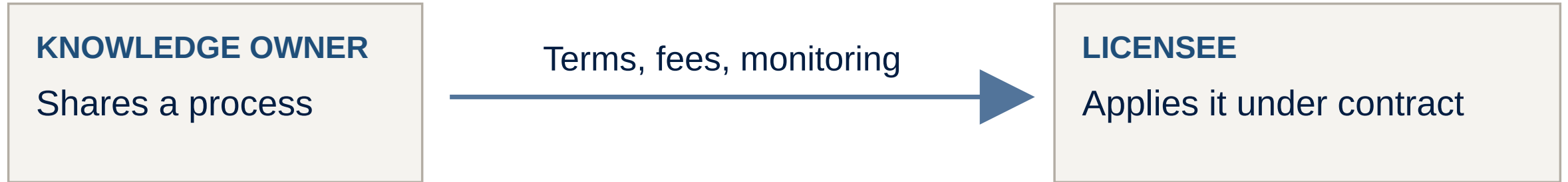
CONNECT PRODUCTION STAGES



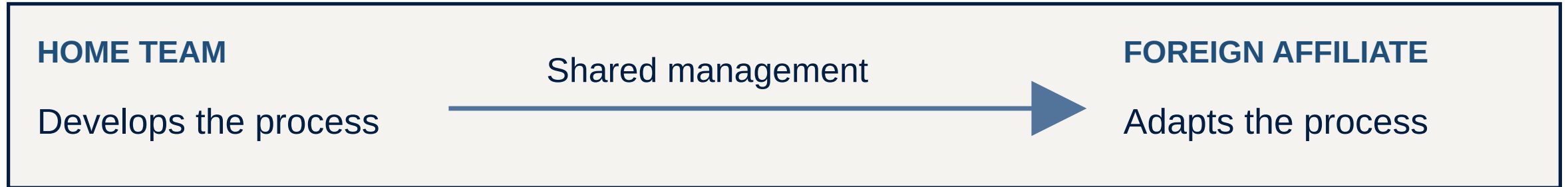
A reason to operate abroad still leaves the choice between ownership and contracting.

Knowledge creates a reason to keep activities inside

LICENSE TO AN INDEPENDENT FIRM



INTERNALIZE THE FOREIGN ACTIVITY



Internalization brings an activity inside the firm when internal coordination offers an advantage.

Ownership creates management costs

Reasons to own

Protect difficult-to-license know-how.

Coordinate frequent changes.

Secure a critical investment.

Reasons to contract

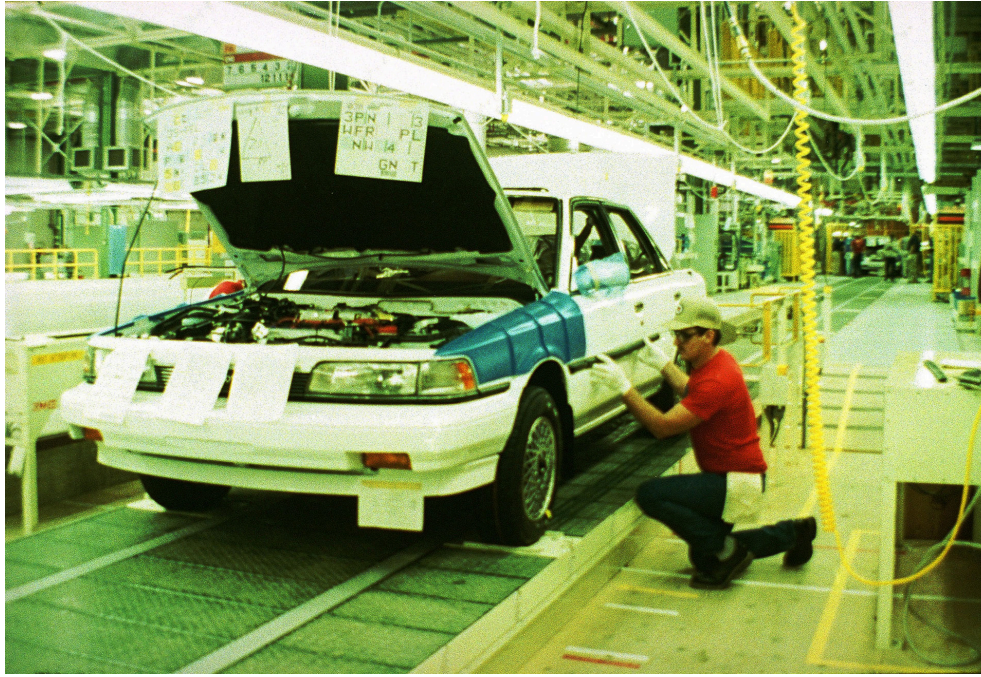
Use a specialist's capabilities.

Share capacity across customers.

Limit fixed commitments.

Ownership adds capital commitments, managers, and monitoring. Compare these with contracting costs.

Toyota owned assembly in Kentucky



Toyota, Camry production line, Kentucky, 1988 · [Company Archives](#), © Toyota.

Kentucky, 1988

Toyota opened its wholly owned vehicle plant.

What could make ownership attractive for this activity?

Foreign manufacturing can sit inside the multinational's ownership boundary.

Firms can combine several ways of operating abroad

Arrangement	Foreign activity	Relationship
Exporting	Customer buys home output	Cross-border sale
Licensing	Partner uses the firm's knowledge	Contract and agreed rights
Joint venture	Partners share an enterprise	Shared ownership
Owned affiliate	The firm runs the activity abroad	Corporate ownership

Choose an arrangement for each activity, then examine how those choices fit together.

Draw Your Firm's Foreign Boundary

Industry teams: choose one activity to own or contract

1. Choose a firm, one activity, and a foreign market in your industry.
2. Draw the activity inside, outside, or partly inside the firm's ownership boundary.
3. Name one capability gained and one coordination problem created.
4. Identify the strongest alternative and one fact that could change your recommendation.

10 minutes • Existing industry teams • One annotated sketch

■ Make one defensible decision. Label assumptions and evidence you still need.

Your activity now requires sharing proprietary know-how with the foreign team.

The process will change frequently, and a complete contract is difficult to write. Keep the market and activity fixed. Revise your sketch or explain why your original arrangement still works. Name its most important safeguard.

4 minutes · Same teams · Add the revision in a second color

Compare the mechanism behind each recommendation

Report in 60 seconds

Explain

Activity and arrangement

Who performs the work, and who owns it?

Decisive mechanism

What makes this arrangement preferable?

Revision or defense

How did the knowledge problem affect your choice?

7 minutes · Three reports, then four minutes of comparison

■ Evaluate the reason for the boundary and the cost it leaves unresolved.

Multinational ownership requires three linked arguments

Question	The argument to establish
Why this firm?	It brings or develops a valuable capability.
Why an activity abroad?	A foreign operation creates value.
Why ownership?	Internal coordination improves on the feasible contracts.

■ Explain the activity, the foreign setting, and the ownership choice together.

The gains and capability changes reach beyond the firm

Immediate gains

Firms gain flexibility and scale.

Consumers may benefit from lower costs.

Host workers gain jobs and experience.

Longer-term questions

Who retains production know-how?

Who can bring the next product to scale?

Who bears adjustment and bargaining costs?

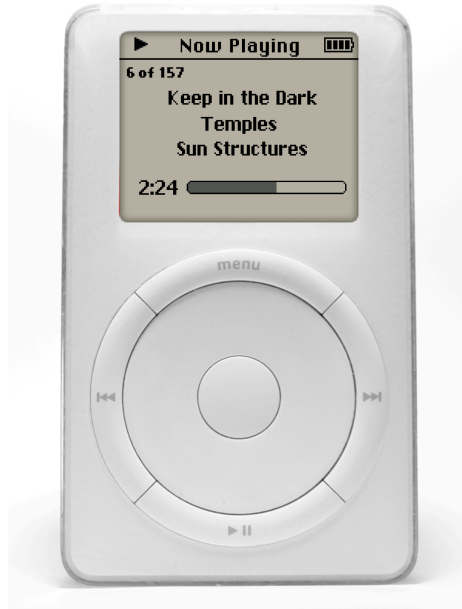
■ A profitable ownership decision can have uneven effects across workers, firms, and places.

Why did Apple and Foxconn draw different ownership boundaries?

Revise your explanation. Name the activity, explain the capability or coordination advantage, and identify one cost or risk that remains.

2 minutes · Individual · Keep both versions

Monday: explain where production concentrates



Miguelon756-5303, [iPod 1G](#), 2016 · Commons, CC BY-SA 4.0.

Why did so much of this production concentrate in particular places?

Fallows adds supplier ecosystems, agglomeration, and location dependence.

Carry today's ownership map into the next class's location question.